

ECONOMICS OF DATING APPS

by Frank Marciano



Industry Background



- Match.com launched in 1995 [1]
- 14% of U.S. had internet access [1]
- Now, half of all online relationships began on a Match Group platform [1]
- Worth 5.34B (2023) with $\approx$ 350 million global users across platforms [1]

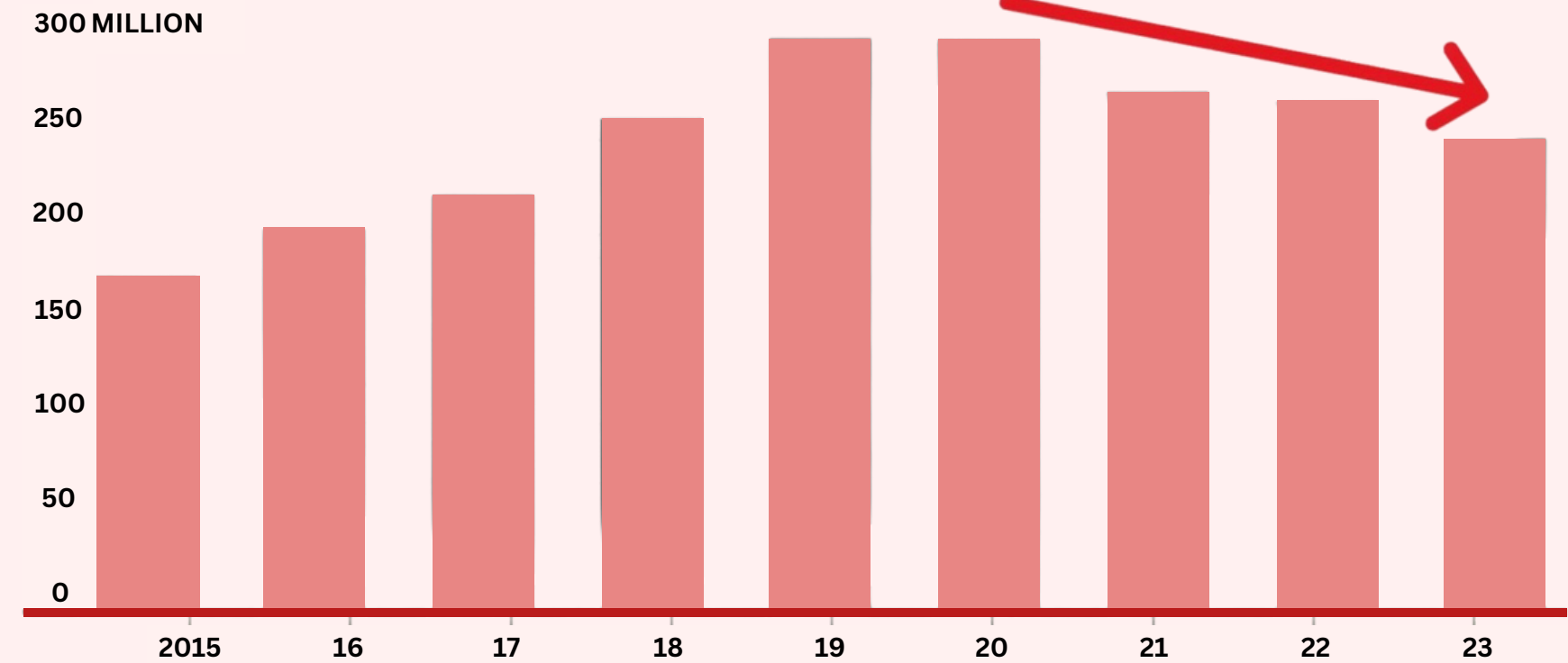


Industry Trends

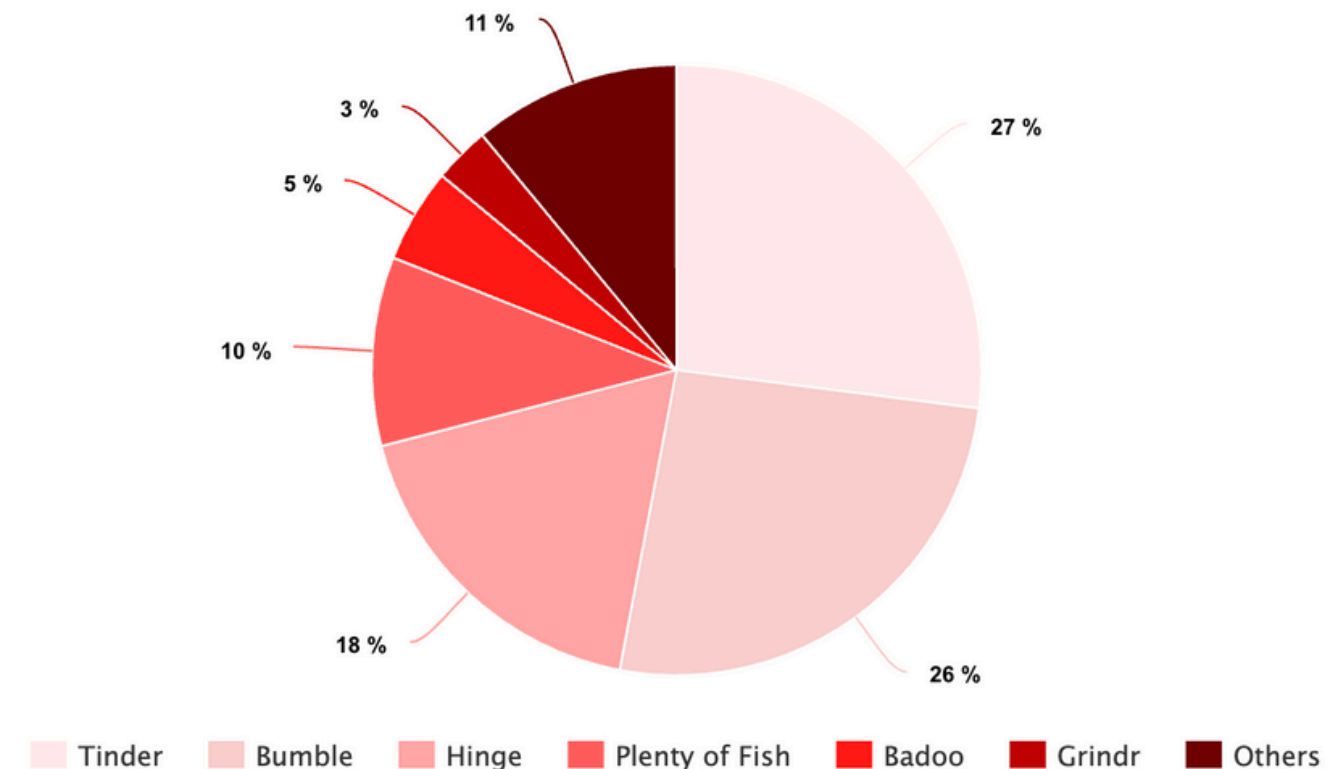
- Since 2020, people are getting tired of swiping
- A decline in downloads from 2020 to 2023 [1]
- Tinder, Bumble, & Hinge are the top 3 in market share [1]
- Wide range of options for everyone



GLOBAL DATING APP DOWNLOADS



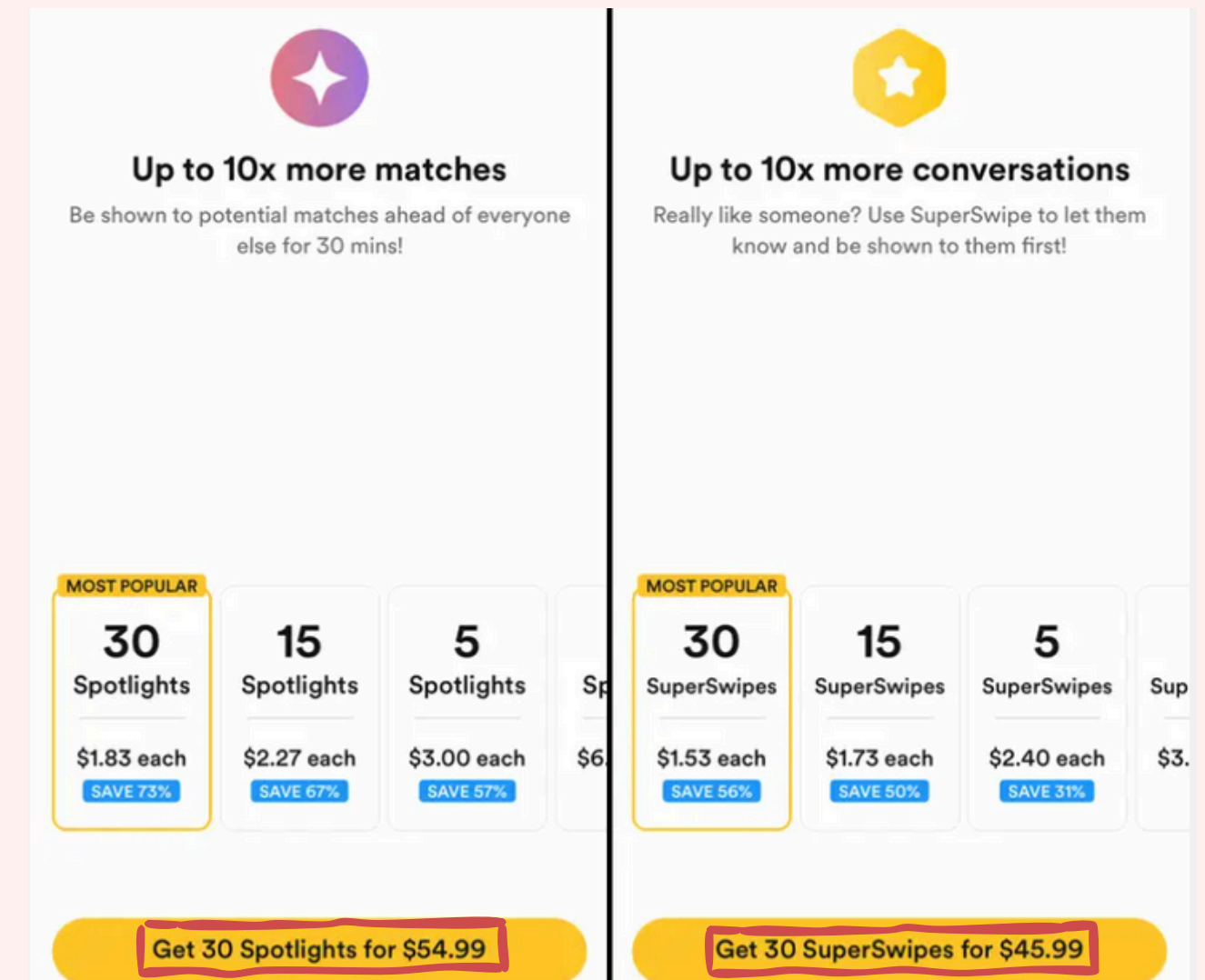
U.S. DATING APP MARKET SHARE (2023)



The “Freemium” Model



- Most apps today utilize the “freemium” model—part of the platform is free while there are subscriptions and one-time purchases to unlock exclusive features. [1]
- If an app is successful at setting up a match, they could lose out on paying customers. [1]



Market's Main Players



Tinder



75M monthly active users
[2]

2023 Revenue ≈ \$1.9B [1]

Known for: “Swipe Right”
[1]

Hinge



>10M monthly active users
[1]

2023 Revenue ≈ \$396M [1]

Known for: Serious Relationships [1]

Grindr



>13M monthly active users
[1]

2023 Revenue ≈ \$260M [1]

Known for: Casual Dating
[1]

Muzz



>1M monthly active users
[1]

2023 Revenue ≈ \$20M [1]

Known for: Marriage [1]

Bumble



>42M monthly active users
[1]

2023 Revenue ≈ \$1.05B [1]

Known for: Putting Women First [1]

Grindr v. Muzz



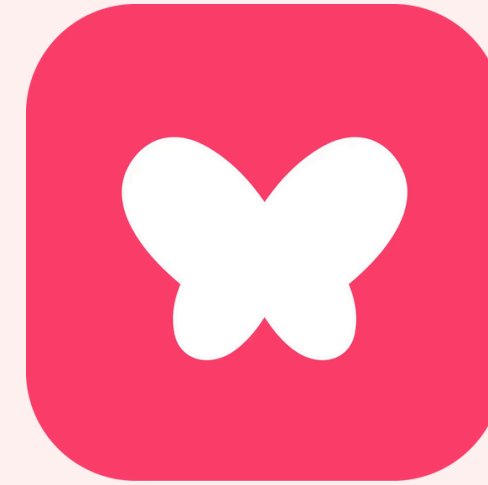
Monthly Active Users: >13M [1]

Revenue (2023): \$260M [1]

Target Audience: LGBTQ+ Men

Market Differentiation: Location-based casual dating app for LGBTQ men [1] & [3]

Market Penetration: Dominance in LGBTQ+ dating space



Monthly Active Users: >1M [1]

Revenue (2023): \$20M [1]

Target Audience: Young Muslim adults

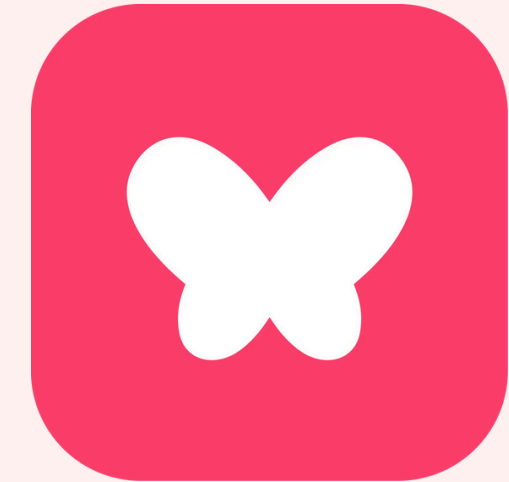
Market Differentiation: Marriage for Muslim Individuals & a Social Network [1]

Market Penetration: Dominance in the Muslim dating space

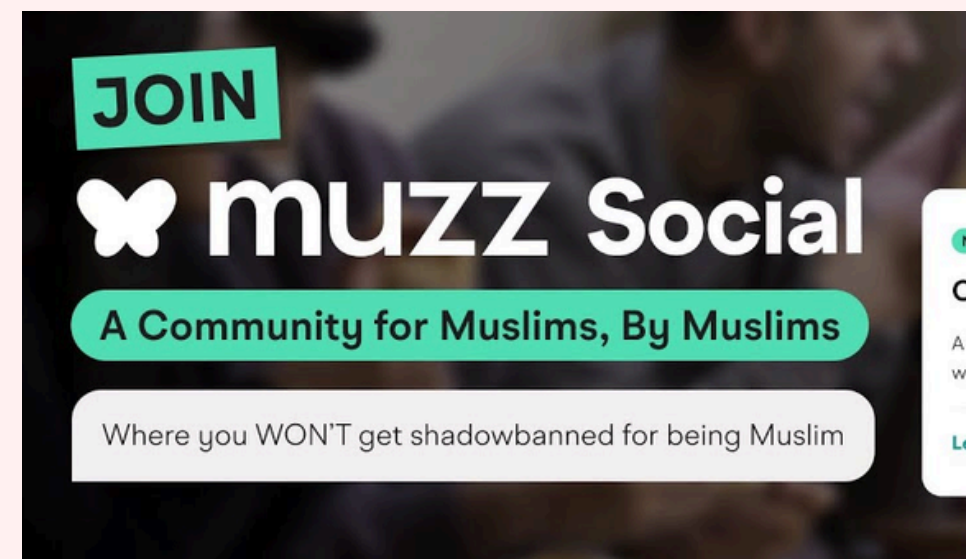
Future Strategy



- To retain users and boost profitability, Grindr is rolling out new features that cater directly to how users already engage with the app. [1]
- Partnering with Ex-Human to develop AI Wingman. [1]
- No official plans yet, but an AI companion is being discussed. [1]



- Unlike Facebook, they started with a dedicated dating platform and later integrated social networking features. [1]
- Aim to generate more authentic conversations between Muslims. [1]
- Merging social networking with dating provides a natural progression for users seeking connections beyond a dating app [1]



My Thoughts

- **Muzz's emphasis on the social network aspect will be a key driver of its continued growth.**
- **While Grindr's AI Wingman has the potential to enhance user experience, it also comes with risks.**
- **A key concern is that AI may diminish the organic, human element of dating.**
- **AI tools should serve as supportive assistants rather than replacing genuine human emotion and judgement.**



References



[1]

https://www.youtube.com/watch?v=Sgtg8ZzTV7E&list=PLqQNt9DP_BNBKa8ss5ROk2wLYI9JUdeYS&index=10

[2]

<https://www.demandsage.com/tinder-statistics/#:~:text=Tinder%20has%2075%20million%20monthly,18%20to%2034%20age%20group.>

[3]

<https://en.wikipedia.org/wiki/Grindr#:~:text=Grindr%20Inc.&text=West%20Hollywood%2C%20California%2C%20U.S.&text=It%20was%20one%20of%20the,mobile%20app%20in%20the%20world.>

[4] <https://www.businessofapps.com/data/dating-app-market/>